Business Process Management (BPM) overview

Unit objectives

After completing this unit, you should be able to:

- Describe Business Process Management (BPM)
- List the benefits of BPM

Topics

- Business Process Management (BPM)
- Why BPM?
- BPM goals
- Managing the BPM process

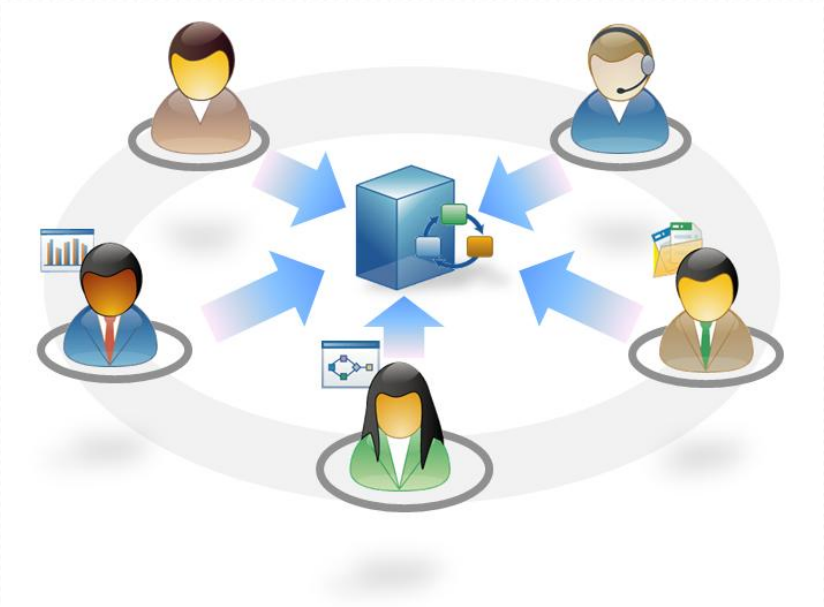
Business Process Management (BPM)

What is Business Process Management?

- Business Process Management (BPM) is a method of efficiently aligning an organization with the wants and needs of clients.
- BPM is a holistic management approach that promotes business effectiveness and efficiency while striving for innovation, flexibility and integration with technology.
- As organizations strive for attainment of their objectives, BPM attempts to continuously improve processes—the process to define, measure and improve your processes—a ‘process optimization' process.
- A business process represents a discrete series of activities that can span multiple people, applications, business events and organizations.

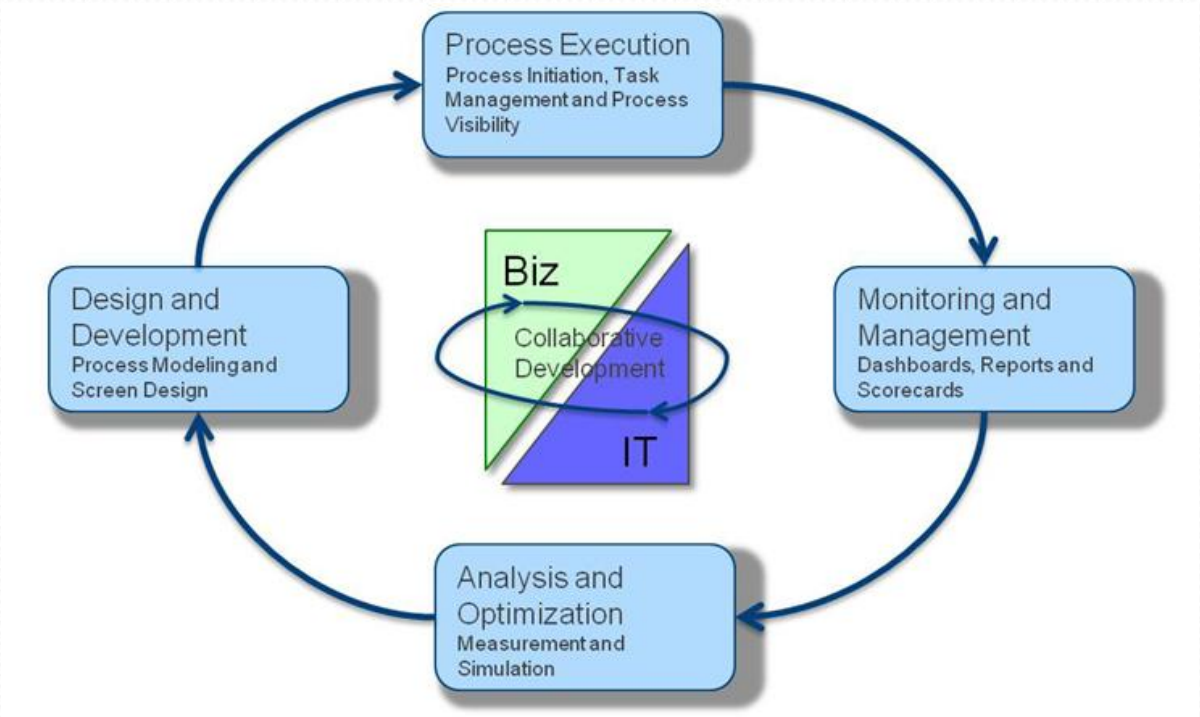
What is Business Process Management? cont.

- By applying technology, BPM software can activate the process, orchestrate the people, data, and systems that are involved in the process, and give the business managers a view into how the process is operating—where bottlenecks are occurring and highlight possible process optimizations.



What is Business Process Management? cont.

- BPM stands for Business Process Management. It is a holistic management discipline that promotes business agility, visibility, process improvement, and business innovation. By coupling the BPM discipline with enabling technologies, the value of BPM compounds over time.

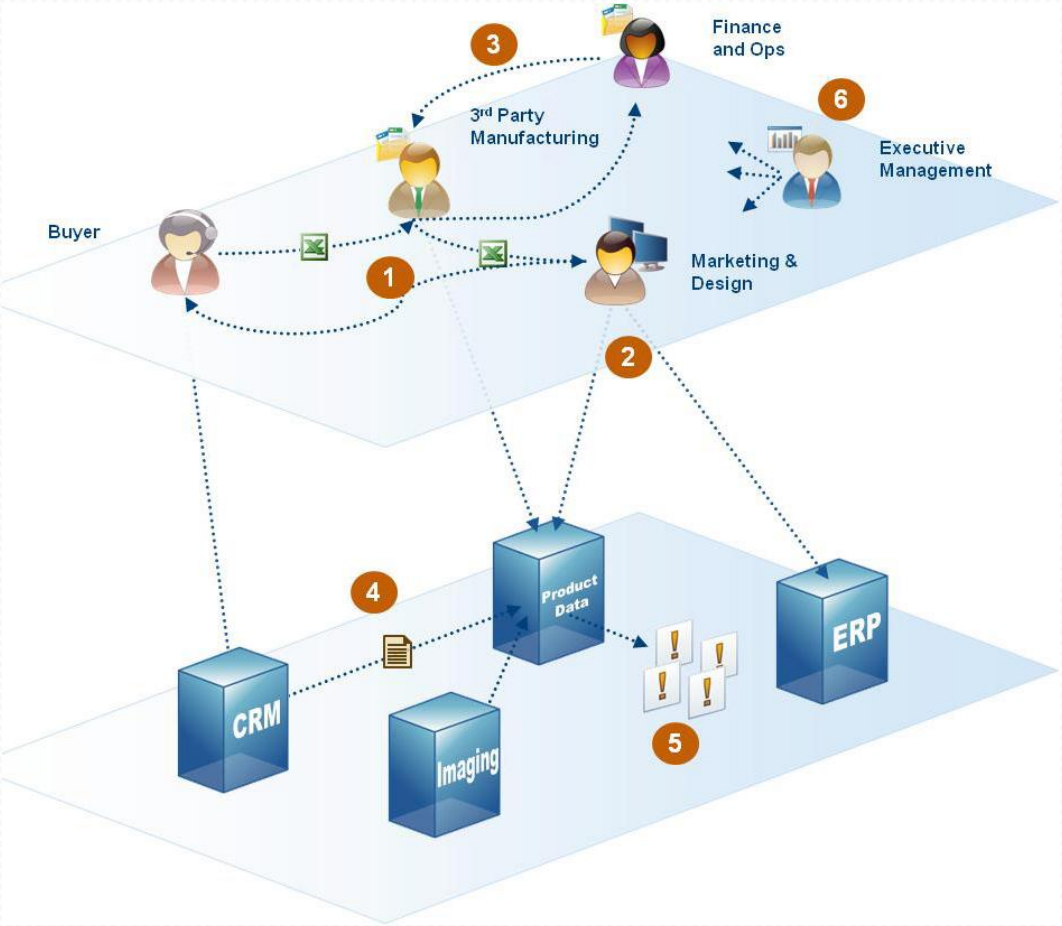


Why BPM?

Why BPM?

- Applications for complex processes for humans and systems.
- Orchestration across multiple departments and systems.
- Real-time performance management and visibility.
- Keep pace with changing business requirements.
- Collaborate effectively between Business and IT.
- Make process a source of competitive advantage.

Typical process problems without BPM

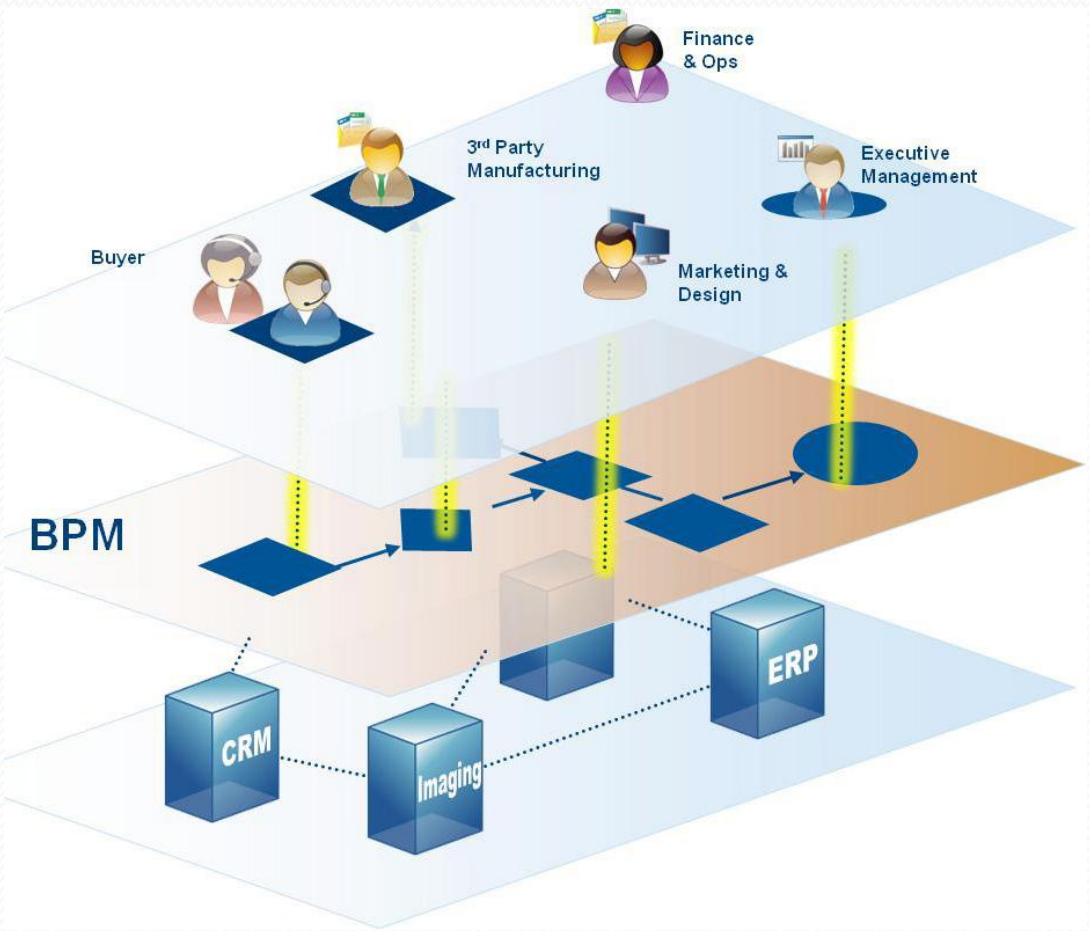


1. Informal Tasks and Communication, Process Variation (ex Paper or email)
2. Inefficient Working Environment Spans Systems, Re-Work
3. Inconsistent Prioritization
4. Incomplete or Inaccurate Data Flow Between Systems
5. Lack of Control Over System and Business Events (Exceptions)
6. Poor Visibility Into Process Performance

<u>Customer Problem:</u>

- Cannot Grow Efficiently
- Customer Satisfaction

BPM delivers a layer for control and visibility

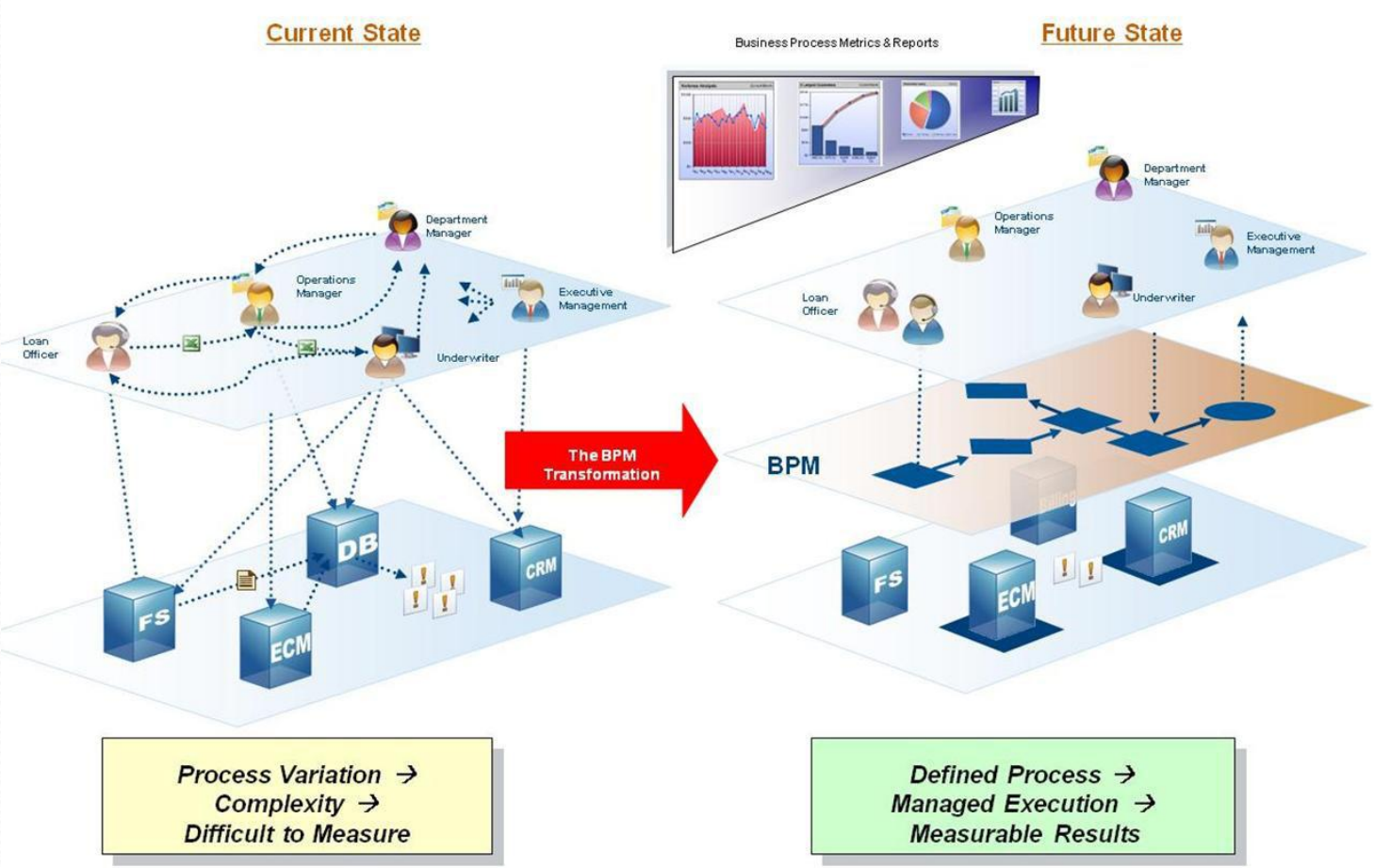


1. Automatically prioritizes and routes work
2. Guides users through decisions
3. Standardizes resolution across geographies
4. Leverages existing systems and data
5. Monitors for business events and initiates action
6. Real-time visibility and process control

<u>Benefits:</u>

- 80% Reduction in Manual Interactions
- Faster Issue Resolution

BPM adds a layer for control and visibility



BPM goals

New capabilities require new business management skills

The goal of BPM is to go beyond modeling and improvement to true process thinking, monitoring, and management of the business. These four business principles allow for a more complete understanding of the business's process management requirements.

- Process Thinking
  - Looking at a business as a suite of processes, not as activities
  - Developing process measurement and visibility mechanisms
  - Managing in real-time, not in a delayed mode
- Real-time Management
  - Monitoring events and process performance, not just transactions
  - Simulation of alternatives to advance and accelerate processes
  - High-end analytical techniques resulting in easy-to-use real-time reporting

New capabilities require new business management skills cont.

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- Collaboration, Team Building
  - Consensus building through information sharing and visibility
  - Prototyping/modeling of alternatives to determine improvement paths
- Empowerment
  - Coaching to improve business performance
  - Better (fact-based) decision making in real-time mode
  - Individual, team, and process performance measurement to identify bottlenecks

Typical BPM Hierarchy

A typical BPM hierarchy would include these steps:

Identify the business, program, and/or process goals.

Identify the decisions & the decision makers.

Identify supporting data and Key Performance Indicators (KPIs).

Define Scoreboards, reports, and Service Level Agreements (SLAs).

Managing the BPM process

Typical BPM Hierarchy

How do we put the “M” in BPM?

The “M” requires Visibility

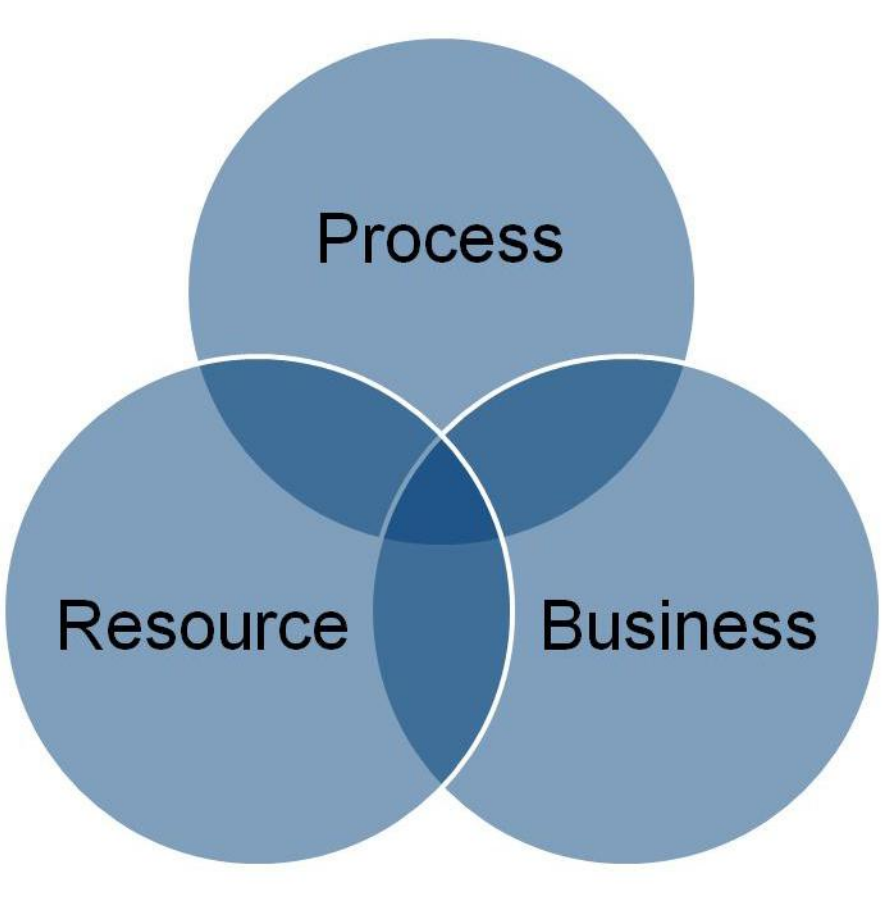
- We expose opportunity for change (business, process, resources)

The “M” is in the Decisions

- Find the decision makers; identify the decisions

Prepare for Change

- KPIs, SLAs, EPVs
- Reports & Scoreboards
- Simulation & Optimizer



Typical BPM Hierarchy

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